

Holiday Pay

User Guide

Access Limited Distribution

PeopleXD Payroll

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Document Control

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1.5	15 th June 2023	Isabelle Grey	Exclude hours toggle added to table in section 7.3.2. Pay Code Parameters .
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1.7	11 th June 2024	James Martin	Formatting updates. Updates to section 7.2.1 Pay Group Parameters
1.8	11 th Dec 2025	James Martin	Added section 6. Pay History

1. Overview

1.1. Purpose of the Guide

The purpose of this document is to provide guidance on the software and configuration required for processing Holiday Pay.

Items covered include:

- The 'Holiday Pay' concepts and processes.
- Assumptions and pre-requisites.
- How Holiday Pay works
- How to process Holiday Pay.
- How Holiday Pay displays on payslips
- How to configure the system to support Holiday Pay.

2. Pre-Requisites & Key Categorisations

2.1. Assumptions and Pre-Requisites

There are several key assumptions or pre-requisites to be aware of:

- The holiday pay module is only available on Pay Portal.
- Holiday Pay is processed and paid to the end of the payroll period.
- A reference period for holiday pay is defined in the legislation as a Sunday - Saturday week regardless of employee pay group frequency with an exception only for weekly payrolls. For more information, see section [3.3.5 Reference Period](#).
- When calculating average earnings this is based on when they were earned/worked not paid basis. For more information, see section [3.3.1 When Earned vs When Paid basis](#).
- Retrospective corrections to annual leave will require manual adjustments to payments already processed.



Note:

Payments of the top up Enhanced Holiday Pay rate will be processed from the start of the payroll period when the Holiday Pay solution is enabled. This means if the Holiday Pay solution is enabled during the middle of an annual leave year, and the employer does not wish to pay all annual leave at the enhanced rate, then a manual adjustment may be required. This is temporary until you move in-to the new annual leave calendar year.

2.2. Key Categorisation

Key categorisation of workers:

- **Positive Input (Contract) Workers**
 - The system will generate payment for basic holiday pay as normal. This is because, holiday hours or days are still transferred across from Workforce Management or recorded directly into the payroll.
 - In addition - two additional timesheets will be created for:
 - Standard Holiday Pay
 - Enhanced Holiday Pay
- **Salary Workers**
 - Salary workers will continue to get their normal salary in the period(s) where they take annual leave,
 - In addition - additional timesheets will be created only for:
 - Enhanced Holiday Pay

3. How does Holiday Pay Work

3.1. How is it Calculated?

Holiday Pay is calculated for an employee based on the concept of Enhanced (EU) / Standard (Non-EU) entitlements.

Entitlement	Description
EU or Enhanced Holiday Pay Rate	The enhanced holiday pay rate used incorporates elements configured for inclusion. This would typically be the following types of elements: • Basic Pay • Guaranteed and Non-Guaranteed Overtime • Commission • Travel to Work payments
Non-EU or Standard Holiday Pay Rates	The standard holiday pay rate is typically configured to incorporate basic pay elements only.



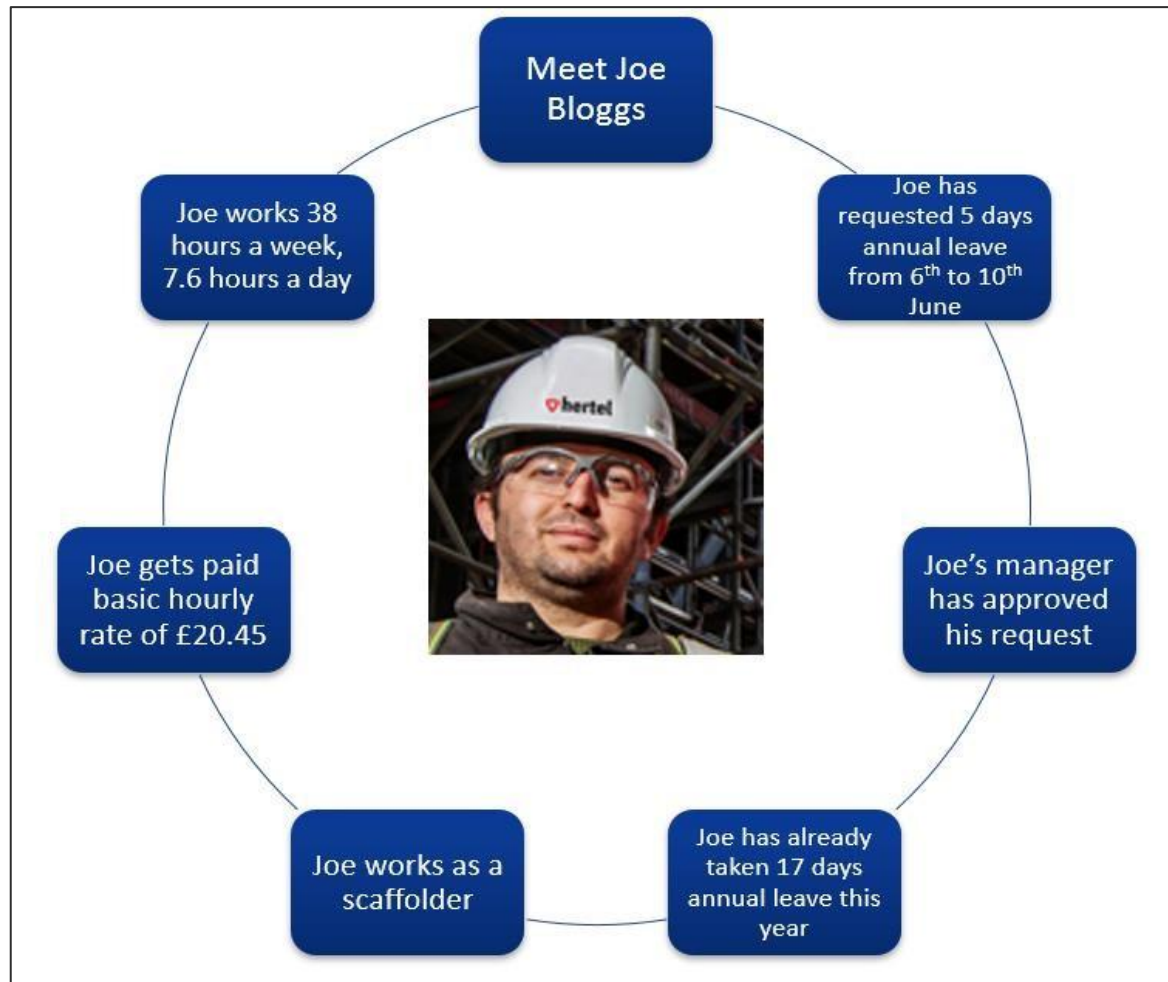
Note:

Average Enhanced or Standard Holiday Pay is calculated using the previous 52 weeks payments to the employee. This is a parameter that can be defined by the user. The system will go back up to 104* weeks (*This is the max period to go back on history as set out in the legislation) to identify the previous 52 weeks to include.

Employers can decide whether to implement the holiday pay calculation for enhanced rate payments on an "EU only" (first 20 days) rule, or for "all annual leave" or a specified cut off.

3.2. Example

Joe is allowed 25 days holidays per year.



Joe has already taken 17 days holidays so far this year. He has a new request for 5 days approved.

Joe's timesheet and payroll calculation looks like this:

Annual Leave Request	T&A Timesheet	Payroll Calculation
6 th June – 10 th June 2016	6 th June Annual Leave 7.6 Hours Time Code 321	6 th June Annual Leave @ Enhanced Rate
5 days	7 th June Annual Leave 7.6 Hours Time Code 321	7 th June Annual Leave @ Enhanced Rate
Annual Leave Time Code 321	8 th June Annual Leave 7.6 Hours Time Code 321	8 th June Annual @ Enhanced Rate
	9 th June Annual Leave 7.6 Hours Time Code 321	9 th June Annual Leave @ Standard Rate
	10 th June Annual Leave 7.6 Hours Time Code 321	10 th June Annual @ Standard Rate

Based on the first 20 days rule, Joe has used 17 days already. This allows him a balance of 3 days which will be paid at the Enhanced Holiday Pay Rate. The remaining 2 days will be paid using the Standard Holiday Rate.

3.3. Calculation Rules

The Holiday Pay calculation identifies what specific pay elements to include over the last 52 weeks.

3.3.1. When Earned vs When Paid basis

Many workers impacted by holiday pay guidance can be paid in arrears due to delay in their timesheet being approved or due to payroll cut off.

If the worker goes on holiday in the preceding month when the rest of their pay is processed, that pay will need to be included within the reference period.

The reference period should include earnings based on when they were earned/worked not paid.

To cater for this the system when calculating the average pay groups payments based on the payment transaction date into the relevant reference period(s).

3.3.2. Calculating the Average Where Absences Occurred During the Last 52 Weeks

If, when looking back 52 weeks, absences such as SSP/SMP/ unpaid leave etc. are identified, the system looks back further to find the next usable weekly period to include when calculating the 52-week average.



Note:

Per Regulations, the system looks back up to a maximum of 104 weeks when calculating the 52-week average.

3.3.3. Recording Retrospective Annual Leave

When Configuration is by WFM Annual Leave Input, the system calculates the annual leave based on the entered from / to date. Any annual leave entered within this date range is processed for holiday pay.

When configuration is by Payroll Annual Leave input, the system calculates payments owed for annual leave timesheets entered in the current payroll period. These timesheets can have a transaction date in the past or up to the end of the current payroll period.

3.3.4. Change of Pay Group Frequency during the Annual Leave year

When an employee changes pay frequency during the annual leave year, e.g., from Weekly to Monthly Paid – the system does not currently automate the calculation.

When this scenario occurs, the system will output a message in the view gross to nett exception messages (viewable from the view gross to nett screen) to identify such employee(s) and inform users that manual intervention is required in this case.

3.3.5. Reference Period

The holiday pay regulations set out that, the holiday pay reference period should start from the last complete working week that was worked, ending on or before the first day of leave, starting on a Sunday and ending on a Saturday.

There is an exception for workers whose pay is calculated weekly by a week ending on a day other than Saturday. In such cases, a week is treated as ending with that other day. For example, if a worker's pay is calculated by a week ending with a Wednesday, then the employer should treat a week as starting on a Thursday and finishing on a Wednesday.

For all other pay frequencies, the holiday pay must be broken down on a weekly basis where a week is defined as starting on a Sunday and ends on a Saturday.

Within the system

- The annual leave transaction date determines when the Annual leave day is for.
- The system then looks at the pay group frequency.
- If the pay group is weekly the system uses the week as defined for that pay group when calculating the historical average pay
- For any other pay group frequency, the system will identify the transaction date for the annual leave claim and check what the previous holiday pay week (Sunday-Saturday) was and count back from there to identify the relevant 52 weeks to use when calculating the average pay.

4. How to Process Holiday Pay?



Note:

Menu Option access is required. For further details, see section [15. Menu Options Required](#).

Holiday Pay is processed in 4 steps:

1. **Record Annual Leave.**

Depending on your organisations process this can be done in two areas:

- a. Record annual leave in Payroll.
- b. Record annual leave in WFM.

Where you record holiday pay will impact how the *Enhanced Holiday Pay* screen will display.

2. **Run the Payroll Validation task.**

The Payroll Validation task need to be completed for the generate holiday pay option to be available. This is because the system requires current period timesheets to exist before holiday pay can be calculated.

3. **Generate Holiday Pay.**

Once the Payroll Validation task has run the *Enhanced Holiday Pay* option will be available. This can be processed in two ways:

- a. Generate by Pay Group
- b. Generate at Employee level

4. **Rerun the Payroll Validation task**

The Payroll Validation task must be run again once the Holiday Pay timesheets have been created. This is required to calculate the gross to nett after the new payment timesheets have been created.

4.1. Record Annual Leave



Note:

For details on how to configure and identify Holiday Pay Codes, see sections [7.3.1. Pay Group Parameters](#) and [7.3.2. Pay Code Parameters](#).

4.1.1. Record Annual Leave in Payroll

To record Timesheets in the current payroll period for identified Holiday Leave Pay Codes.

1. Go to *Payroll Dashboard > Employees*
2. Search for the relevant employee then click **View** to open their record.
3. Click the **Timesheets Current Period** tab.
4. Click **Add**.

Employee *
Lawrence Smith

Employee Reference No 000282
NI Number
Date of Birth 13-Feb-1978

Original Start Date 15-Aug-2022
Hours 37.5
FTE Hours

Latest Start Date 15-Aug-2022
Increment Date
Location Loughsborough

Search

Current Period

OneView

Timesheets Current Period

Gross to Nett

Redundancy

Additional

Deductions

Pension

NI Weeks

NI Band Override
0

Zero NI Band

PAYE up to Week

Timesheets Current Period

Pay Code Type Date Input Appointment Cost Centre Project Expense Override R... Position Point Holiday Pe... Source/Ref... Start/End ...

ADD

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SAVE

5. Enter the timesheet details for the Holiday Leave Pay Code.
6. Click **OK**.

4.1.2. Record Annual Leave in WFM

Depending on your organisations process annual leave can be recorded in WFM in various ways:

- Employee records annual leave on the Employee Dashboard.
- Manager records annual leave using the Manager or Workforce Management Dashboards.
- Administrator records annual leave using the WFM Admin Dashboard.

In this guide we will details how a manager or administrator would record annual leave using the employee calendar. To do this:

Holiday Pay - User Guide

1. Go to the *Workforce Management* or *WFM Admin Dashboard*.
2. Click the **Employee Calendar** tab.
3. Select an **Employee** from the drop-down menu.

Employee Calendar

Active Alice Jones 2021 March < >

ACTIONS +

Person Absences

Work Schedule

Add Absence

Month	M	T	W	T	F	S	S	M	T	W	T	F	S	S	M	T	W	T	F	S	S	M	T	W	T	F	S	S		
MAR	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28	29	
APR				1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	
MAY						1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	
JUN			1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28
JUL					1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26
AUG							1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	
SEP				1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27
OCT						1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25
NOV	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28	29	
DEC				1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27
JAN						1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	
FEB			1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28

4. Click the **Actions** menu then click **Add Absence**.

Absence Details: Alice Jones - 000013

WFM Admin Dashboard > Absence Details: Alice Jones - 000013

1 Absence Details

2 More

3 Return to Work Interview

4 Supporting Documents

5 Balances

Absence Detail

Leave Type* 10-Feb-2023 10-Feb-2023

Select a leave type Select a start date Select an end date

Part Day Leave Open Ended Enter Duration Recurrence

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NEXT SAVE

5. Select the Holiday Leave Pay Code from the *Leave Type* drop-down menu.
6. Enter the absence details.
7. Click **Save**.

4.2. Generate Enhanced Holiday Pay



Note:

- The Payroll Validation task must be run for the *Enhanced Holiday Pay* option to be available.
- The log file for Holiday Pay is py_enhanced_hol_days_api.logXXXX

4.2.1. Generate Holiday Pay by Pay Group

To generate Enhanced Holiday Pay by Pay Group:

1. Go to *Payroll Dashboard > Manage Payroll*.
2. Click the 3 dot menu next to the relevant Pay Group.
3. Click **Enhanced Holiday Pay**.

The screenshot shows the 'Manage Payroll' interface. It features a table with columns: Pay Groups, Current Pe..., Key Observ..., Stage, Payroll Completion, Joiners, Leavers, Rejoiners, Mode, and Cutoff Date. Two rows are visible: '2021 - Irish Monthly' and '30 - Monthly Payroll (UK)'. The '30 - Monthly Payroll (UK)' row is highlighted, and a dropdown menu is open next to it, showing options: 'Enhanced Holiday Pay', 'Job History', 'Gross to Nett', 'Release Payslips', 'Scheduled Tasks', and 'Payroll Cutoff'. Below the table, there are sections for 'Inputs', 'Payroll Checking', and 'Outputs'. The 'Inputs' section shows 'Joiners' with a count of 7. The 'Payroll Checking' section shows 'Rejoiners' with a count of 1. The 'Outputs' section shows 'Unprocessed Employees' and 'Salary Approvals'.

- If you recorded the annual leave in Payroll:
 - a. Review the current Payroll Period and click **OK**.

Enhanced Holiday Pay

Payroll Period *

202221

CANCEL OK

- If you recorded the annual leave in WFM:
 - a. Enter the **From Date** and **To Date**.
 - b. Click **OK**.

Enhanced Holiday Pay

Choose From Date

Choose to Date

CANCEL

OK

Enhanced Holiday Pay will generate for the relevant annual leave timesheets recorded in the period or date range.

The system checks configuration to see if it should pay at the Enhanced Holiday Pay rate.



Note:

The Payroll Validation task must be run again once the Enhanced Holiday Pay timesheets have been created.

4.2.2. Generate Holiday Pay at Employee level

To generate Enhanced Holiday Pay at employee level:

1. Go to *Payroll Dashboard > Employees*
2. Search for the relevant employee then click **View** to open their record.
3. From the **Actions** menu click **Enhanced Holiday Pay**.

- If you recorded the annual leave in Payroll:

- a. Review the current Payroll Period and click **OK**.
- If you recorded the annual leave in WFM:
 - a. Enter the **From Date** and **To Date**.
 - b. Click **OK**.

Enhanced Holiday Pay will generate for the relevant annual leave timesheets recorded in the period or date range. The system checks configuration to see if it should pay at the Enhanced Holiday Pay rate.



Note:

The Payroll Validation task must be run again once the Enhanced Holiday Pay timesheets have been created.

4.3. Reconcile the System Annual Leave Calculation

Holiday calculates on a when earned basis and breaks the pay into a week (Sunday-Saturday).

This makes the calculation difficult to reconcile on the system as in payroll everything is driven on a when paid basis. This presents a challenge if reviewing an employee's payroll history as this will not be easily matched back to the holiday pay calculation requirement.

For this reason, a breakdown of how the annual leave value was calculated for the standard and enhanced pay amounts can be reported on for the current (or historical periods) via Insight using a new Holiday Pay view.

To create the report:

1. Go to the *Insight* dashboard.
2. From the **Actions** menu click **Create Report**.
3. Name your report and click **OK**.
4. Click **Add** then **Column**.
5. Filter by the *Enhanced Holidays Pay (Pay)* View.

Select a Column

Search Data

Enhanced Holidays Pay (Pay)

Data

View

Already Claimed	Pay Enhanced Holidays Pay
Annual Leave End Date	Pay Enhanced Holidays Pay
Annual Leave Start Date	Pay Enhanced Holidays Pay
Appointment Id	Pay Enhanced Holidays Pay
Average Pay Element	Pay Enhanced Holidays Pay
Base Rate	Pay Enhanced Holidays Pay
Calculation Breakdown	Pay Enhanced Holidays Pay
Comments	Pay Enhanced Holidays Pay

CANCEL

OK

6. Select the required columns for your report and click **OK**.

Example report:

Enhanced BOK

insight > Enhanced BOK

REFRESH DATA

ACTIONS

Data as of 31-Jan-2023 12:14 (Record Count: 2)

Employee	Calculation Breakdown	Comments	Final Calculation Standard	Final Calculation Enhanced	Main Parameters
6267112	Employee 6267112 processing for pay code 3700 for ...	Finished Processing for Employee 6267112			** Main Parameters ** Current Period: 2
6267112	Employee 6267112 processing for pay code 3700 for ...	Finished Processing for Employee 6267112	Standard Hourly Rate = 147.89375 which is 74...	Enhanced hourly Rate = 30.821918 which is 16000 (total enhanced value pay) divide...	** Main Parameters ** Current Period: 2

5. How Holiday Pay Displays on Payslips?

5.1. Salary Paid Employee

For Salary Paid Employees:

- The employee's salary generates for the payroll period.
- The holiday hours entered for the current payroll period displays.
- Where applicable, the payslip outputs the enhanced element of their holiday pay. For further details, see section [6.1. Example Calculation – Salary Employee.](#)

																											
Holiday Pay Annual Salary 51 Main Street Hereford Town HR5 2UX United Kingdom		<table border="1"> <thead> <tr> <th colspan="2">Details</th><th colspan="2">Cumulatives (YTD)</th></tr> </thead> <tbody> <tr> <td>Pay Period</td><td>Aug-2023</td><td>Gross Earnings</td><td>28666.62</td></tr> <tr> <td>Personnel No.</td><td>6267113</td><td>Pension</td><td>1501.84</td></tr> <tr> <td>NI No.</td><td>SA306076D</td><td>Gross Pay for PAYE</td><td>27164.78</td></tr> <tr> <td>Tax Code</td><td>1257L N</td><td>PAYE</td><td>5627.53</td></tr> <tr> <td>NI Class</td><td>B</td><td>NI</td><td>941.65</td></tr> </tbody> </table>		Details		Cumulatives (YTD)		Pay Period	Aug-2023	Gross Earnings	28666.62	Personnel No.	6267113	Pension	1501.84	NI No.	SA306076D	Gross Pay for PAYE	27164.78	Tax Code	1257L N	PAYE	5627.53	NI Class	B	NI	941.65
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<table border="1"> <thead> <tr> <th colspan="2">Gross Earnings</th><th colspan="2">Deductions</th></tr> </thead> <tbody> <tr> <td>1000 SALARY</td><td>5833.33</td><td>PAYE</td><td>1167.27</td></tr> <tr> <td>ENHANCED HOLIDAY PAY 38</td><td>47.43</td><td>Employee NI</td><td>344.02</td></tr> <tr> <td>ANNUAL LEAVE HOURS 38</td><td>0.00</td><td>Employee Pension 2</td><td>343.70</td></tr> <tr> <td>Employee Pension 4</td><td>-47.79</td><td>(ER PENSION)</td><td>47.79</td></tr> </tbody> </table>		Gross Earnings		Deductions		1000 SALARY	5833.33	PAYE	1167.27	ENHANCED HOLIDAY PAY 38	47.43	Employee NI	344.02	ANNUAL LEAVE HOURS 38	0.00	Employee Pension 2	343.70	Employee Pension 4	-47.79	(ER PENSION)	47.79						
Gross Earnings		Deductions																									
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ANNUAL LEAVE HOURS 38	0.00	Employee Pension 2	343.70																								
Employee Pension 4	-47.79	(ER PENSION)	47.79																								

5.2. Paid by Timesheet Input Employee

For paid by timesheet input employees:

- The employee's holiday pay hours generate for the payroll period.
- Where applicable, the payslip outputs the topped-up element of their standard pay.
- Where applicable, the payslip outputs the topped-up element of their enhanced pay. For further details, see section [6.2. Example Calculation – Paid by Timesheet Input Employee](#).



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freedom to do more

Holiday Pay Positive Input
51 Main Street
Hereford
Town
HR5 2UX
United Kingdom

Details		Cumulatives (YTD)	
Pay Period	Aug-2023	Gross Earnings	22041.76
Personnel No.	6267112	Pension	947.83
NI No.	SA306076D	Gross Pay for PAYE	21093.93
Tax Code	1257L N	PAYE	3199.14
NI Class	B	NI	773.74

Gross Earnings			Deductions	
STD HOLIDAY PAY	38	526.71	PAYE	-286.33
ENHANCED HOLIDAY PAY	38	117.61	Employee NI	51.20
ANNUAL LEAVE HOURS	38	1278.85	Employee Pension 2 (ER PENSION)	19.32
Employee Pension 4		4.57		-4.57

5.3. Configure how Payslip Pay Codes Display

You can group how payments are displayed on the payslip by configuring a *Payslip Pay Code* rule.

To do this:

1. Go to *Payroll Dashboard > Settings*.
2. Click the Pay Codes tile.
3. Search for the Pay Code and from the 3 dot menu click **Edit**.
4. Click step **2 Rules**.

5. Click **Add**.
6. Select the **Payslip Code Override** rule and select a **Value**.
7. Click **OK**.

The screenshot shows the 'Pay Code Wizard' interface with the 'Rules' step selected. A modal titled 'Add Rule' is open, allowing the user to select a rule and a value. The background interface includes a sidebar with steps 1 (Pay Code Formula), 2 (Rules), and 3 (General Ledger). The main area shows a table of rules with columns for Rule, Description, and Value. The 'Add Rule' modal has a dropdown for 'Rule' with 'Payslip Code Override' selected, a text area for the description, and a dropdown for 'Value'. The modal also has 'CANCEL' and 'OK' buttons.

Rule	Description	Value
Taxable	Enter Taxable	
PRSIable	Enter PRSI	
Pensionable for Emplo...	Select if the	
Pensionable for Emplo...	Select if the	

8. Click **Next** then **Save**.

6. Pay History

Enhanced holiday pay history can be viewed from the Pay History screen. To access the Pay History screen:

1. Go to *Payroll Dashboard > Employees*
2. Search for the relevant employee then click **View** to open their record.
3. Click the **Pay History** tab.

Holiday Pay Date	Employee Type	Calculation Method	Pay Group	Payroll Period	Linked Reference	Appointment ID	Enhanced Rate Applied	
22-Jun-2023	Hourly	Contractual	6115 Enhanced Holiday Pay Week 6115	202312	1	Learning Centre Analyst 7212 721219-200	28,245.79	VIEW
21-Jun-2023	Hourly	Contractual	6115 Enhanced Holiday Pay Week 6115	202312	38	QA Engineer 7212 721218-184	40,252.04	VIEW
20-Jun-2023	Hourly	Contractual	6115 Enhanced Holiday Pay Week 6115	202312	1	Learning Centre Analyst 7212 721219-200	28,245.79	VIEW
20-Jun-2023	Hourly	Contractual	6115 Enhanced Holiday Pay Week 6115	202312	38	QA Engineer 7212 721218-184	40,252.04	VIEW
20-Jun-2023	Hourly	Contractual	6115 Enhanced Holiday Pay Week 6115	202312	38	QA Engineer 7212 721218-184	40,252.04	VIEW
16-Jun-2023	Hourly	Contractual	6115 Enhanced Holiday Pay Week 6115	202311	38	QA Engineer 7212 721218-184	40,252.04	VIEW
6115 Enhanced Holiday Pay Week							Learning Centre Analyst 7212	

Pay History provides an overview of an employee's past and current holiday pay calculations ordered by holiday pay date in descending order.

6.1. Holiday Pay Calculation

Details of the Enhanced Holiday Pay calculations can be found for entry in the Pay History screen. To access the Holiday Pay Calculation screen:

1. Click **View** on the Pay History entry.

Standard Pot Calculation		Enhanced Pot Calculation	
Total Value	1833	Total Value	1833
Total Hours	47	Total Hours	30
Calculated Rate	39	Calculated Rate	61.1
Days/Hours		Rate Calculation	
Entitlement Days	20	Top-up Rate	6.14579
Entitlement Hours	170	Employee Contract Rate	32.85421
Previous Days Taken	0	Enhanced Rate Applied	28.24579
Previous Hours Taken	125		
Current Days	0		
Current Hours	10		

 **Note:** Salary employees do not include the Standard Rate and Enhanced Rate Calculation sections as these are not used to calculate the rate.

The Linked Appointments button opens a view of the linked appointments used to calculate the enhanced rate.

7. Example Holiday Pay Calculations

7.1. Example Calculation – Salary Employee

For salary workers, we only calculate the holiday pay entitlement on the Enhanced Holiday Pay Elements. See section [7.3.2. Pay Code Parameters](#). This is due to the challenge of allocating the pay / hours over the holiday pay week Sunday – Saturday. The system can allocate enhanced payments that are recorded into each week by using the transaction date on the timesheet. The transaction date used in recording these payments becomes critically important and you should ensure that its captured reflecting when the work is done (when earned).



Note:

Where an employee is on an annual or weekly salary, their contract hours are used in the calculation when calculating the Enhanced Holiday Pay Top Up.

Example:

For this example, we will only go back 5 weeks to demonstrate how the solution works. A monthly paid Salary employee goes on holidays for 2 days (16 hours) in period 202124. Assume this annual leave is recorded as occurring on the 24th and 25th May 2021.

To get the enhanced holiday pay top up we look at all transactions pay codes which are Enhanced Holiday Pay Elements. See section [7.3.1.Pay Group Parameters](#).

In this example, these come to the following values:

- Enhanced Holiday Pay Elements over the past 52 weeks = 2596.14 divided by (52 multiplied by 40 (contracted hours) = $1.25 * 16 = 20$

Therefore, total Enhanced Holiday Pay = £20.

Timesheets Created:

- The employee still gets paid their normal salary for the holiday.
- Where applicable, the system generates a timesheet for the enhanced holiday pay element. This occurs where the Standard/Average hourly rate of pay exceeds the employees' current hourly rates of pay.

Employee Payment:

The employee will have 2 timesheets created on their payslip – generated by the holiday pay module.

- Timesheet 1 - Normal Salary
- Timesheet 2 (where applicable) - Enhanced Holiday Pay Element

7.2. Example Calculation – Paid by Timesheet Input Employee

Example:

For this example, we will only go back 5 weeks to demonstrate the concept of how the solution works.

A monthly paid positive input employee goes on holidays for 16 hours in period 202124.

Assume this annual leave is recorded as occurring on the 24th and 25th May 2021.

To get the average rate of pay for this leave payment we must identify the payments and hours worked in each previous Sunday – Saturday week.

In our example these come to the following values:

- Pay with Transaction Date in week 16th May - 22nd May = £336.54 / 35 hours
- Pay with Transaction Date in week 9th May - 15th May = £336.54 / 35 hours
- Pay with Transaction Date in week 2nd May - 8th May = £192.31 / 20 hours
- Pay with Transaction Date in week 25th April - 1st May = £240.38 / 25 hours
- Pay with Transaction Date in week 18th April - 24th April = £144.30 / 15 hours

Therefore:

- Average hourly rate of pay for the employee is = $£1,250 \div 130 = £9.62$

In this example:

- the periods 202124 - 202121 are month 6
- the periods 202120 - 202116 are month 5

However, as the pay is included based on a when earned basis, we refer to the transaction date and not the period.

The system will do this calculation twice to calculate:

- (a) the Standard Holiday Pay Top Up: This is their (Calculated Standard/Average Hourly Rate – their Current Hourly Rate) * the Holiday Hours entered, e.g., $£9.50 - £9.00 = £0.50 * 16 \text{ Hours} = £8$.
- (b) the Enhanced Holiday Pay Element: This is their calculated (Enhanced Holiday Rate of Pay – their Average Hourly Rate) * the Holiday Hours entered e.g., $£9.62 - £9.50 = £0.12 * 16 \text{ Hours} = £1.92$.

Timesheets:

As the system will have already paid the employees base rate, e.g., £9 an hour for this example, the system will see if it needs to generate a timesheet payment for any standard or enhanced holiday pay entitlement.

- Standard Holiday Pay
 - Standard Rate - Base Rate
 - $£9.50 - £9.00 = £0.50 * 16 \text{ hours}$
- Enhanced Holiday Pay
 - Enhanced Rate - Standard Rate
 - $£9.62 - £9.50 = £0.12 * 16 \text{ hours}$

Employee Payment:

The employee will have 3 timesheets created on their payslip – generated by the holiday pay module.

- Timesheet 1 - Normal Basic Pay $£9 * 16$
- Timesheet 2 - Standard Holiday Pay $£0.50 * 16$
- Timesheet 3 - Enhanced Holiday Pay $£0.12 * 16$

8. How to Configure Holiday Pay

8.1. Enhanced Holiday Pay Configuration Screen

To access the Enhanced Holiday Pay configuration screen:

1. Go to *Payroll Dashboard > Settings*.
2. Click the **Enhanced Holiday Pay** tile.

Enhanced Holiday Pay

Payroll Dashboard > Enhanced Holiday Pay

ACTIONS

Holiday pay effective date *
01-Jan-2021

Holiday pay inclusion type *
Job Title

Use Standard Contract Rate ☐

Pay group parameters | Pay code parameters | Holiday pay rules | Inclusions

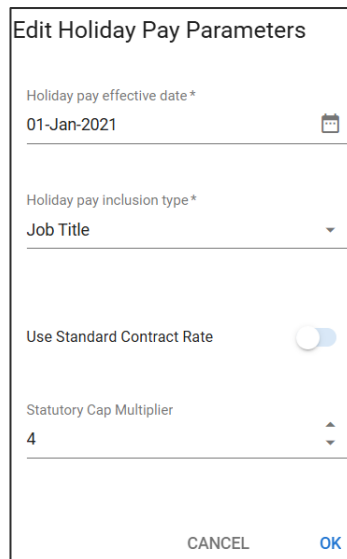
Search pay group

Pay group	Core time used for...	Include public hol...	Holiday pay histor...	Holiday pay retro ...	Standard holiday ...	Enhanced holiday...	Annual leave start...	Annual leave end ...	Calculation Method	Processing Range	Include Salary EE...	
1 - Monthly Pay...	☐	☐							Average	Period Range	☐	⋮
10 - Irish Mont...	☐	☐							Average	Period Range	☐	⋮
1011 - Weekly (...)	☐	☐							Average	Period Range	☐	⋮
11 - Irish Weekl...	☐	☐							Average	Period Range	☐	⋮
1111 - Monthly ...	☐	☐							Average	Period Range	☐	⋮
1112 - Monthly ...	☐	☐							Average	Period Range	☐	⋮
1113 - Monthly ...	☐	☐							Average	Period Range	☐	⋮

8.1.1. Holiday Pay Effective Date

This is the date the Holiday Pay is enabled. Only annual leave records after this date are paid under the enhanced holiday pay module. To edit the Holiday Pay Effective Date:

1. Click the **Actions** menu.
2. Click **Edit Holiday Pay Effective Date**.



Edit Holiday Pay Parameters

Holiday pay effective date *
01-Jan-2021

Holiday pay inclusion type *
Job Title

Use Standard Contract Rate ☒

Statutory Cap Multiplier
4

CANCEL OK

3. Update the Holiday pay effective date as required.
4. Click **OK**.

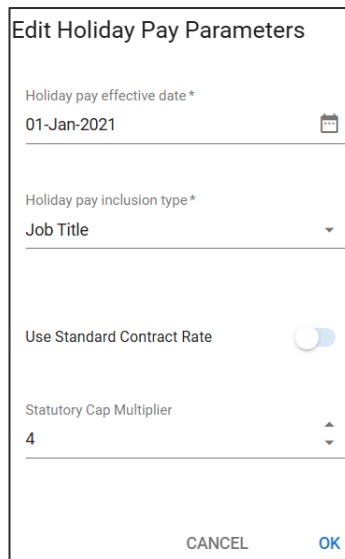
8.1.2. Holiday Pay Inclusion Type

This is used to set the reference type which is used on the *Inclusions* tab to allow you to identify which employees are to be processed for Holiday Pay calculations. The options available are:

- Job Title
- Position
- Category
- Department.

To edit the Holiday Pay Inclusion Type:

1. Click the **Actions** menu.
2. Click **Edit Holiday Pay Effective Date**.



Dialog box titled "Edit Holiday Pay Parameters" showing the following fields:

- Holiday pay effective date*: 01-Jan-2021
- Holiday pay inclusion type*: Job Title
- Use Standard Contract Rate: ☒
- Statutory Cap Multiplier: 4

Buttons: CANCEL, OK

3. Select the Holiday pay inclusion type from the drop-down menu.
4. Click **OK**.

8.1.3. Use Standard Contract Rate

This indicator is used to configure whether the enhanced holiday pay rate calculates based on the employee's contracted hours rather than their standard hours.

The default for the indicator is off i.e. the system will use FTE hours in the holiday pay calculation.

Note:

This indicator is only relevant for the salary employees holiday pay calculation as positive input (timesheet) paid employees hours still come from day history.

To enable the *Use Standard Contract Rate* indicator:

1. Click the **Actions** menu.
2. Click **Edit Holiday Pay Effective Date**.

Edit Holiday Pay Parameters

Holiday pay effective date *
01-Jan-2021

Holiday pay inclusion type *
Job Title

Use Standard Contract Rate ☒

Statutory Cap Multiplier
4

CANCEL OK

3. Enable the *Use Standard Contract Rate* toggle.
4. Click **OK**.

8.1.4. Statutory Cap Multiplier

The Statutory Cap Multiplier will overwrite the Entitlement Hours assigned to the Pay Group. This setting works in conjunction with the [Holiday Pay Rules](#).

8.2. Holiday Pay Parameters

There are 4 tabs on the *Enhanced Holiday Pay* configuration screen which hold holiday pay parameters:

- Pay Group Parameters
- Pay Code Parameters
- Holiday Pay rules
- Inclusions

8.2.1. Pay Group Parameters

Enhanced Holiday Pay

Payroll Dashboard > Enhanced Holiday Pay

ACTIONS

Holiday pay effective date *

01-Jan-2021

Holiday pay inclusion type *

Job Title

Pay group parameters

Pay code parameters

Holiday pay rules

Inclusions

Search pay group

The following parameters are controlled at pay group level:

Parameter	Description
Calculation Method	- Average. - Contractual, uses the employees contract rate when calculating enhanced holiday pay for positive input employees.
Core Time Used for Holiday Recording	- When enabled, annual leave for this pay group is recorded in WFM. Processing Range can be changed. - When disabled, annual leave for this pay group will be recorded via timesheets in Payroll.
Processing Range	- Period Range, uses the period start to period end of where the submitted holiday falls as the processing range. - Date Range, uses the date range entered on the submitted holiday as the processing range for enhanced holiday pay.
Include Public Holidays	When enabled, public holidays recorded will be counted as an annual leave day.
Holiday Pay History Weeks	The number of payroll history periods the calculation should go back when calculating the average rate for use in the holiday pay calculation.
Holiday Pay Retro Periods	N/A This is a now a defunct indicator.
Standard Holiday Pay Output	This pay code is required for Paid by Timesheet Employees. This pay code generates a top-up value where the Employee's Standard or Average Hourly rate exceeds the Employee's current Hourly Rate.
Pay Code	Pay Code Example:

Parameter	Description
	Details Pay Code * 1008 Pay Code Description * HOLIDAY PAY STD TOP UP Analysis Code * Basic Pay The Allowance, 1008 - HOLIDAY PAY STD TOP UP is Taxable, Niable, Pensionable EE, Pensionable ER. Hours / Days / Units / Value * Total Gross Value Hours Days Limit Multiplier * 1 Standard Value Select a value type Formula This Allowance is calculated on Total Gross Value, multiplied by a Multiplier of 1 .
Enhanced Holiday Pay Output Pay Code	This Pay Code is required to calculate Enhanced Holiday Pay Element for 'Salary Employees' and 'Paid by Timesheet Employees'. Pay Code Example: 1 Pay Code Formula 2 Rules 3 General Ledger Pay Code * 1220 Pay Code Description * ENHANCED HOLIDAY PAY ELEMENT Analysis Code * Basic Pay The Allowance, 1220 - 1220 ENHANCED HOLIDAY OUTPUT is Taxable, Niable, Pensionable EE, Pensionable ER. Hours / Days / Units / Value * Total Gross Value Hours Days Limit Multiplier * 1 Standard Value Select a value type Formula This Allowance is calculated on Total Gross Value, multiplied by a Multiplier of 1 .
Annual Leave Start Date	The annual leave start date. - If using Payroll the current annual leave year should be recorded here. The system will, when checking what year annual leave falls in to, roll forward that year for future year annual leave processing. - If using WFM your annual leave calendar will already be set.
Annual Leave End Date	The annual leave end date. - If using Payroll the current annual leave year should be recorded here. The system will, when checking what year annual leave falls in to, roll forward that year for future year annual leave processing. - If using WFM your annual leave calendar will already be set.
Include Salary EE's Absence Validation	Enable to allow Salary employees to be included in skipping weeks and brings Absences into Payroll from WFM as separate records.

8.2.2. Edit Pay Group Parameters

To edit Pay Group Parameters:

1. Search for the Pay Group.
2. Click the 3-dot menu then click **Edit Row**.

Edit Holiday Pay Group Parameter

Calculation Method Average	Core time used for holiday recording
Processing Range Period Range	Include public holiday(s)
Holiday pay history periods	Holiday pay retro periods
Standard holiday payment output pay ...	Enhanced holiday payment output pa...

CANCEL OK

3. Update the required fields.
4. Click **OK**.

Example Pay Group Configuration:

Enhanced Holiday Pay

Payroll Dashboard > Enhanced Holiday Pay

Holiday pay effective date*
01-Jan-2019

Holiday pay inclusion type*
Job Title

Pay group parameters

Pay code parameters

Holiday pay rules

Inclusions

284 BOK

Pay group	Core time used for holi...	Include public holiday(s)	Holiday pay history We...	Holiday pay retro Perio...	Standard holiday paym...	Enhanced holiday pay...	Annual leave start date	Annual leave end date
ZZZ0000000284 B...			52	0	1008	1220	01-Apr-2023	31-Mar-2024

8.2.3. Pay Code Parameters

Enhanced Holiday Pay

Payroll Dashboard > Enhanced Holiday Pay

ACTIONS

Holiday pay effective date *

01-Jan-2021

Holiday pay inclusion type *

Job Title

Use Standard Contract Rate

Pay group parameters

Pay code parameters

Holiday pay rules

Inclusions

Search pay code

Pay Code	Holiday pay	Holiday pay element	Enhanced holiday pay element	Exclude Pay Code	Exclude Hours	
Admin Fee 7007						
Adoption Leave 3730						

The following parameters are controlled at pay code level:

Parameter	Description
Holiday Pay	Enable this indicator for each pay code that can be used to record annual leave. Recording holiday pay against the selected employee(s) is what triggers the holiday pay calculation. Note: - For 'Salaried Employees' this pay code should have a Multiplier of 1. - For 'Paid by Timesheet Employees' this pay code should have a Multiplier of 0. Details Pay Code * 3700 Pay Code Description * ANNUAL LEAVE 3700 Analysis Code * Absence Management The Allowance, 3700 - ANNUAL LEAVE 3700 is Taxable, Nlable, Non-Pensionable EE, Non-Pensionable ER. Hours / Days / Units / Value * Hours Hours Days Limit 999 Multiplier * 0 Standard Value Select a value type Formula This Allowance is calculated on Hours, multiplied by a Multiplier of 0 the Limit set on this Pay Code is 999.
Holiday Pay Element	Enable this indicator for each pay code which should be considered when looking back to calculate the employees' normal rate of pay for holiday payments. See section 3.1 How is it Calculated?

Parameter	Description
Enhanced Holiday Pay Element	Enable this indicator for each pay code which should be considered when looking back to calculate the employees enhanced rate of pay for holiday payments. See section 3.1 How is it Calculated?
Exclude Pay Code	This is used to identify pay codes which should be excluded from the holiday pay calculation. For example: Furlough Payments. This is as Furlough payments may have been paid below the employees' normal rate and as such the regulations allowed for the exclusion of such payments when calculating the average weekly pay.
Exclude Hours	Enable this indicator for Paid by Timesheet (Positive Input) employees where you want an overtime pay code value included in the Enhanced Pay Calculation but not the overtime hours.

Example Pay Code Configuration

- Salary Employees

		Pay Code Parameters		
		Holiday Pay	Holiday Pay Element	Enhanced Holiday Pay Element
Pay Codes	Salary	Off	Off	Off
	Overtime Enhanced	Off	Off	On
	Allowanced not Enhanced	Off	Off	Off
	Holiday Leave	On	Off	Off

- Paid by Timesheet Employees

		Pay Code Parameters		
		Holiday Pay	Holiday Pay Element	Enhanced Holiday Pay Element
Pay Codes	Hours Worked	Off	On	On
	Overtime Enhanced	Off	Off	On
	Allowanced not Enhanced	Off	Off	Off
	Holiday Leave Hours	On	Off	Off

8.2.4. Edit Pay Code Parameters

To edit Pay Code Parameters:

1. Search for the Pay Code.
2. Click the 3-dot menu then click **Edit Row**.

Edit Holiday Pay Code Parameter

Holiday pay	☒	Holiday pay element	☒
Enhanced holiday pay element	☒	Exclude Pay Code	☒

CANCELOK

3. Update the required fields.
4. Click **OK**.

8.2.5. Holiday Pay Rules

Currently only the EU Days (20) are required to be paid at the higher enhanced rate however some organisations may decide to pay all days at higher rate.



Note:

- The system is configured to work on one Rule Type only. I.e., Job Title. If the user creates a new rule, with a rule type of 'Position'. This will override the previous rule.
- Leave entitlement can differ for type of workers, or per country. Therefore, this option allows the linking of balances, based on a rule a user can select to allow different balances against different types of employees.

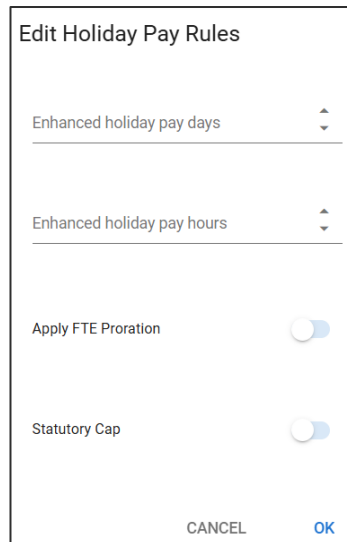
To edit the rule type:

1. Select a *Rule Type* from the drop-down menu e.g., Job Title.
 - A warning will display - You are about to change the criteria for your default holiday pay rule.

2. To save the change create a new holiday pay rule.

To edit holiday pay rules:

1. Search for the *Rule Element*.
2. Click the 3-dot menu option then click **Edit Row**.



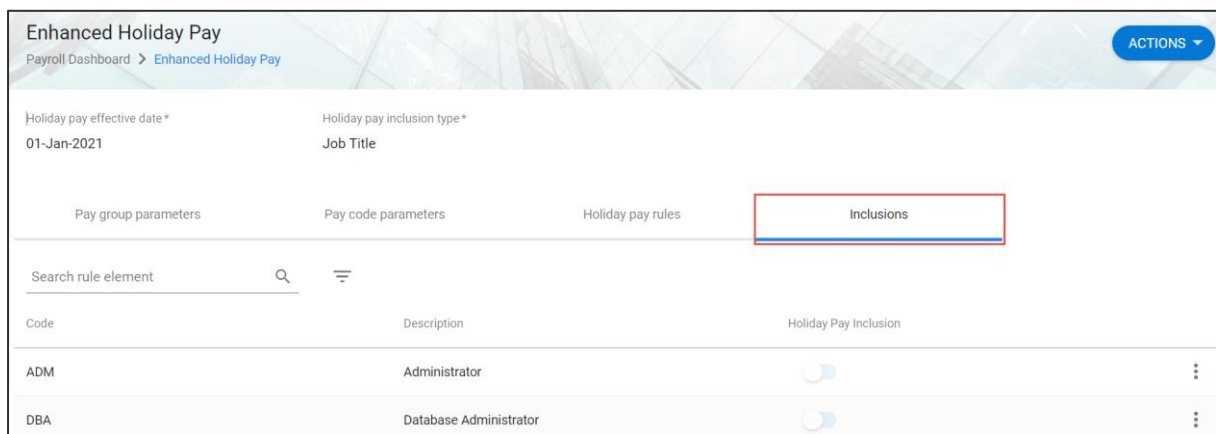
The dialog box titled "Edit Holiday Pay Rules" contains the following fields and controls:

- Enhanced holiday pay days**: A text input field with a dropdown arrow on the right.
- Enhanced holiday pay hours**: A text input field with a dropdown arrow on the right.
- Apply FTE Proration**: A toggle switch currently turned on.
- Statutory Cap**: A toggle switch currently turned on.
- At the bottom: **CANCEL** and **OK** buttons.

3. Enter the *Enhanced holiday pay days* or *Enhanced holiday pay hours*, both are not required.
4. **Enable** the *Apply FTE Proration* to calculate the appropriate enhanced holiday for part-time employees based on their full-time equivalent FTE status. This toggle is optional.
5. **Enable** the *Statutory Cap* to overwrite the Entitlement Hours assigned to the Pay Group. This Toggle is optional and requires configuration seen in section [7.1.4. Statutory Cap Multiplier](#).
6. Click **OK**.

8.2.6. Inclusions

The inclusions option allows you to determine which types of employees are to be considered for the holiday pay calculation base on a reference rule type.

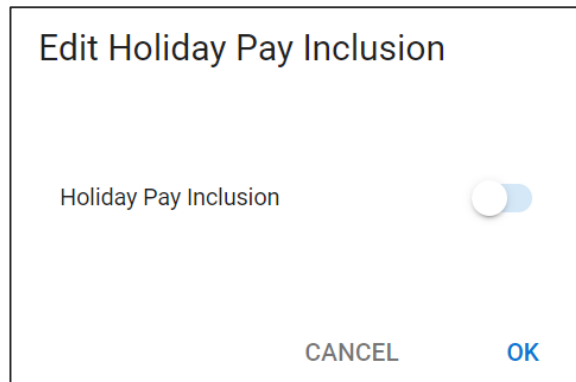


The screenshot shows the "Enhanced Holiday Pay" configuration page. The "Inclusions" tab is selected and highlighted with a red box. The table below lists the inclusion rules:

Code	Description	Holiday Pay Inclusion	
ADM	Administrator	☒	⋮
DBA	Database Administrator	☒	⋮

To edit Inclusions:

1. Search for the *Rule Element*.
2. Click the 3-dot menu option then click **Edit Row**.



The screenshot shows a dialog box titled "Edit Holiday Pay Inclusion". Inside the dialog, there is a label "Holiday Pay Inclusion" followed by a toggle switch that is currently turned on (blue). At the bottom of the dialog, there are two buttons: "CANCEL" and "OK".

3. Enable the **Holiday Pay Inclusion** indicator.
4. Click **OK**.

9. Absence Pay Parameters

When calculating average rate of pay for Holiday Pay, you may wish to exclude periods where absences were recorded. This allows the system to skip this period and go back further to include relevant periods when calculating the average.

The absences that can cause a period to be ignored for the purposes of the average holiday calculation are identified based on the *Holiday Pay Inclusion* indicator on the Absence Pay Parameters screen.

To do this:

1. Go to *Payroll Dashboard > Settings*.
2. Click the Absence Pay Parameters tile.
3. Select a **Company** from the *Company Code* drop-down menu.
4. Select **Absence Types** from the *Select Detail* drop-down menu.
5. Enable the **Holiday Pay Inclusion** indicator for each relevant absence type that would result in the period being excluded.

Absence Pay Parameters

Company Code
UL1030 UK (BOK)

Default Absence Category Code
Absence Category 1

Offset Reduced Payment Rules
Full Pay Cannot Be Exceed...

Select Detail
Absence Types

Absence Types

Absence Type	Description	Absence Payment Pay Code	Description	Statutory Type	APP Rule	Holiday Pay Includi...	
A	ADOPTION	2509	Occupational Adoption Pay	SAP	Reduced and Nil Pay	☒	...
M	MATERNITY	2508	Occupational Maternity Pay	SMP	Reduced and Nil Pay	☐	...
P	PATERNITY	2510	Occupational Paternity Pay	SPP	Reduced Only	☐	...
SHPP	SHARED	2503	Aspp/Shpp		Reduced and Nil Pay	☐	...
SICK	SICK	8502	7275 Occ Sick Pay	SSP		☐	...

Cancel

Add

Save

6. Click **Save**.

If a period within the previous 52 weeks has a recorded occurrence of an absence type which is marked here as included, the holiday pay calculation will skip this period and go back another period to use.

10. Menu Options Required

10.1. Enhanced Holiday Pay

To access the generate Enhanced Holiday Pay screens:

Menu Option	Description
Create paygroup enhancedholidaypay	WS_PAYROLL_MENU.POST_PAYGROUP_ENHANCEDHOLIDAYPAY_ID

10.2. Enhanced Holiday Pay Configuration

To access the Enhanced Holiday Pay Configuration screens:

Menu Option	Menu ID
Settings – Holiday Pay	SETTINGS_MENU.HOLIDAYPAY